



SECOND QUARTER 2015 FINANCIAL RESULTS

August 4, 2015

zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, expectations regarding products, future use of cash and dividend payments, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2014, including in the sections thereof captioned "Forward-Looking Information and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income and adjusted diluted earnings per share, to assess and analyze our operational results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

JUAN RAMÓN ALAIX
CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

STRONG SECOND QUARTER RESULTS

- Diverse sources of revenue growth across species and geographies
- Revenue growth driven by addition of Abbott Animal Health products, sales of APOQUEL and other new products
- Demonstrated continued discipline on operating expenses
- Grew adjusted net income faster than revenue

POSITIONED FOR LONG TERM PROFITABLE GROWTH

- Good progress on operational efficiency initiative
- Continued focus on new product innovations in allergic skin conditions and lifecycle development of global portfolio
- Narrowed full year 2015 guidance and reaffirmed long term goals for 2016 and 2017

PAUL HERENDEEN
CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	Second Quarter		
	2015*	2014*	Change
Revenue	\$1,175	\$1,158	1%
Reported Net (Loss)/Income	(37)	136	**
Reported Diluted (Loss)/Earnings Per Share	\$(0.07)	\$0.27	**
Adjusted Net Income ¹	216	189	14%
Adjusted Diluted EPS ¹	\$0.43	\$0.38	13%

* Millions of dollars, except per share data

** Calculation not meaningful

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Second Quarter				
	2015*	2014*	Change	Foreign Exchange	Operational ²
Revenue	\$1,175	\$1,158	1%	(10)%	11%
Adjusted Cost of Sales ¹	406	405	-	(12)%	12%
<i>as a percent of revenue</i>	34.6%	35.0%	NA	NA	NA
Adjusted SG&A Expenses ¹	343	364	(6)%	(9)%	3%
Adjusted R&D Expenses ¹	83	91	(9)%	(5)%	(4)%
Effective Tax Rate on Adjusted Income ¹	30.2%	28.4%	NA	NA	NA
Adjusted Net Income ¹	216	189	14%	(6)%	20%

*Millions of dollars
NA – Not applicable

¹Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, and adjusted research and development (R&D) expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Operational growth excludes the impact of foreign exchange.

INTERNATIONAL MARKET REVENUE

	Second Quarter				
	2015*	2014*	Change	Foreign Exchange	Operational ¹
Total International	\$622	\$683	(9)%	(15)%	6%
Australia	41	45	(9)%	(15)%	6%
Brazil	67	83	(19)%	(28)%	9%
Canada	49	55	(11)%	(11)%	-
China	29	23	26%	-	26%
France	27	34	(21)%	(22)%	1%
Germany	31	40	(23)%	(19)%	(4)%
Italy	20	24	(17)%	(23)%	6%
Japan	26	32	(19)%	(15)%	(4)%
Mexico	18	21	(14)%	(16)%	2%
Spain	20	23	(13)%	(23)%	10%
United Kingdom	37	36	3%	(9)%	12%
Other Developed	78	87	(10)%	(14)%	4%
Other Emerging	179	180	(1)%	(11)%	10%

*Millions of dollars

¹Operational growth excludes the impact of foreign exchange.

US SEGMENT PERFORMANCE

	Second Quarter				
	2015*	2014*	Change	Foreign Exchange	Operational ¹
Revenue	\$539	\$459	17%	-	17%
Livestock	256	224	14%	-	14%
Companion Animal	283	235	20%	-	20%
Cost of Sales	127	106	20%	-	20%
Gross Profit	412	353	17%	-	17%
<i>Gross Margin</i>	76.4%	76.9%	N/A	-	N/A
Operating Expenses	93	95	(2)%	-	(2)%
Other (Income)/Deductions	-	-	-	-	-
Earnings	319	258	24%	-	24%

*Millions of dollars

NA – Not applicable

¹Operational growth excludes the impact of foreign exchange

INTERNATIONAL SEGMENT PERFORMANCE

	Second Quarter				
	2015*	2014*	Change	Foreign Exchange	Operational ¹
Revenue	\$622	\$683	(9)%	(15)%	6%
Livestock	434	479	(9)%	(15)%	6%
Companion Animal	188	204	(8)%	(16)%	8%
Cost of Sales	225	243	(7)%	(11)%	4%
Gross Profit	397	440	(10)%	(17)%	7%
<i>Gross Margin</i>	63.8%	64.4%	N/A	N/A	N/A
Operating Expenses	151	175	(14)%	(16)%	2%
Other (Income)/Deductions	4	2	100%	N/A	N/A
Earnings	242	263	(8)%	(18)%	10%

*Millions of dollars

NA – Not applicable

¹Operational growth excludes the impact of foreign exchange

2015 – 2017 FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	2015	2016	2017
Revenue <i>Operational growth</i>	\$4,700 to \$4,775 6.0% to 7.5%	\$4,650 to \$4,800 (1%) to 2%	\$4,850 to \$5,050 3% to 7%
Adjusted cost of sales as a percentage of revenue ⁽¹⁾	35.5% to 36.0%	33% to 34%	32% to 33%
Adjusted SG&A expenses ⁽¹⁾	\$1,355 to \$1,405	\$1,270 to \$1,340	\$1,240 to \$1,330
Adjusted R&D expenses ⁽¹⁾	\$380 to \$400	\$380 to \$400	\$380 to \$400
Adjusted interest expense and other (income) / deductions ⁽¹⁾	Approximately \$110	Approximately \$110	Approximately \$110
Adjusted EBIT margin ⁽¹⁾	Approximately 27%	Approximately 31%	Approximately 34%
Effective tax rate on adjusted income ⁽¹⁾	Approximately 29%	Approximately 30%	Approximately 29%
Adjusted diluted EPS ⁽¹⁾	\$1.63 to \$1.68	\$1.81 to \$1.93	\$2.18 to \$2.32
Adjusted Net income ⁽¹⁾ <i>Operational growth</i>	\$820 to \$845 13% to 17%	\$910 to \$970 12% to 19%	\$1,095 to \$1,165 17% to 24%
Certain significant items and acquisition-related costs	\$410 to \$490	\$130 to \$180	\$50 to \$80
Reported diluted EPS	\$0.81 to \$1.02	\$1.45 to \$1.65	\$1.98 to \$2.16

¹Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted earnings before interest and taxes (EBIT) is defined as reported EBIT excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ONE TIME COSTS 2015 - 2017

Pre-tax Charges (millions of dollars)	2015 - 2017
Stand-up costs, acquisition-related costs and other	\$180 to \$210
Operational efficiency initiative (excluding non-cash)	\$340 to \$400
Supply network strategy (excluding non-cash)	\$60 to \$100
Certain significant items and acquisition-related costs	\$580 to \$710

Q&A

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